

Who Is FICA and Why Are They Taking My Money?

The old adage “There are two things in life that are inevitable, death and taxes,” still holds true today. The impact of taxes on your income can be quite significant. Neglecting to consider this influence can result in unrealistic salary expectations. Don’t make the same mistake as Aileen, who forgot to add taxes into the equation.

When Aileen got her first full-time “real” job after college, she was told that her annual salary was going to be slightly over \$27,000 a year. She promptly went home after accepting the job offer and calculated how much she was going to make from each paycheck. She received quite a shock when the actual amount listed on her check did not correspond to what she had anticipated. No one had ever explained to her the difference between “gross” and “net.” Aileen did not realize that “gross” income is reduced by taxes and benefits to arrive at the “net” income, the amount she actually took home. Based on the U.S. tax brackets for 2006, Aileen’s income put her in the 15 percent tax bracket.

U.S. Tax Brackets-2006	
Single Taxpayer	Rate
\$0-\$7,550	10%
\$7,551-\$30,650	15%
\$30,651-\$74,200	25%
\$74,201-\$154,800	28%
\$154,801-\$336,550	33%
\$336,551-and above	35%

Below is a breakdown of the actual deductions taken from her gross income:

